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ORGANIZATION 30060 – MANAGEMENT

Management book - Chapter 5

Department of Management & Technology



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AGENDA

1. ORGANIZATIONAL CULTURE
2. FUNCTIONAL AREAS
3. ORGANIZATIONAL STRUCTURE
4. FORMS OF ORGANIZATIONAL STRUCTURE
5. SUMMARY OF MAIN POINTS



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UNDERGRADUATE
SCHOOL

1.0

ORGANIZATIONAL CULTURE



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We define **ORGANIZATIONAL CULTURE** as

A Firm's shared values, beliefs, traditions,
philosophies, rules, and role models for behavior



Organizational/Corporate culture

A Firm's shared values, beliefs, traditions, philosophies, rules, and role models for behavior.

Expressed in:

- Mission statements
- Codes of ethics
- Memos
- Manuals
- Ceremonies
- Informally: dress codes, work habits, extracurricular activities, and stories



Examples of Organizational Culture in Firms

«Care about your employees and they will care for you»

R.Branson, Founder, Virgin Group



Free meals, gyms, a dog-friendly environment, parks, employee social gatherings, financial bonuses and open presentations by high-level executives



Examples of Organizational Culture in Firms

Team-orientated environment,
employees enjoy health and fitness
classes, rooftop meetings, continued
education through Twitter University, and
feedback at all levels of management



Organizational culture at Apple



2.0

FUNCTIONAL AREAS



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Functional areas

Functional areas are sets or processes characterized by:

- A common function (e.g. purchasing, manufacturing, marketing, ...)
- A specialized set of skills (i.e. buying, producing, selling)



R&D
(researcher)



Finance
(accountant)



Marketing
(seller)



Manufacturing
(engineer)

Core Operations

- Set of activities by which the firm actually carries out economic production

R&D



PURCHASING



MANUFACTURING



**SALES &
MARKETING**



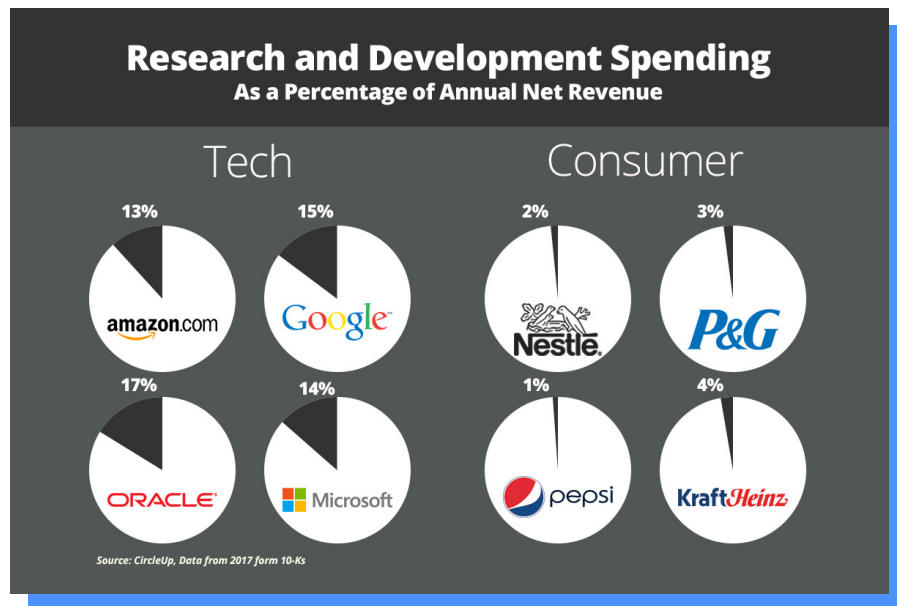
LOGISTICS



Research & Development

Establish product features and production methods

- Fundamental research
- Technology/Competition watch
- Evaluation of customer needs
- New product development
- Problem Solving with existing products and upgrades
- Quality check



Purchasing

Buying long-term use equipment/
facilities, raw materials, services

- Recognition of needs
- Supplier Identification/Evaluation/Selection
- Analyzing quotations and bids
- Placing orders
- Spend Analysis
- Contract Management and Supplier Relationship Management



Procurement cycle

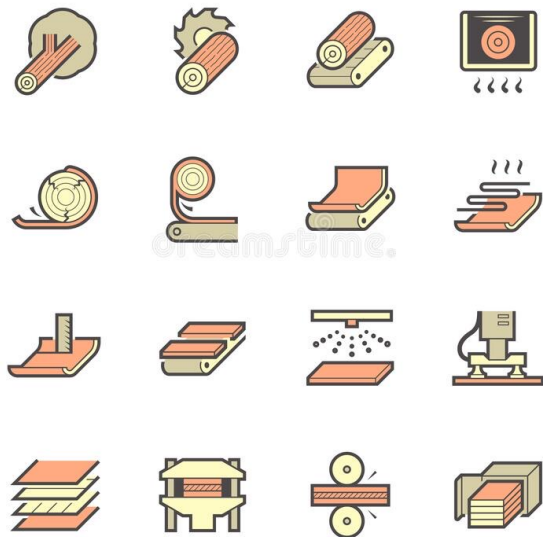


Manufacturing

- Processing and assembling raw materials
- Planning
- Quality control
- Maintenance
- Technical skills (+ economics)



PLYWOOD PRODUCTION INDUSTRY



Sales & Marketing

- Selling the firm's product while optimizing economic profitability
- Understand customers, competitor's offering
- Define sales policies (4/5P)
- Advertising and Communication Campaign
- Sale and Marketing skills + technical skills



Sales & Marketing: 4P



Logistics

- Transport, store and move raw materials, semi-finished and finished products.
- Multidisciplinary skills



Debt and Equity Management / Finance

Set of activities undertaken by firms to collect money to cover their financial needs

Financial needs come from payments the firm has to afford (paying wages, materials, buildings, etc.)

- Forecasting and analyzing financial need
- Optimal mix of equity and capital and debt capital
- Planning and executing transactions involving capital



Debt and Equity Management / Finance

Equity (provided by owners)	Debt (provided by lenders)
Suffers the general risk of enterprise	Only bankruptcy risk
Rewarded by dividends (depending on profitability) – MORE FLEXIBLE	Rewarded by interest (regardless of profit or loss) – MORE RIGID
Substantial influence on decision making (by owners)	Little influence on decisions making (by lenders)
High risks/higher expected reward	Lower risk/lower expected reward



Human Resources Management

The implementation of organizational systems pertaining to personnel

- Recruiting of personnel
- Employee relations (Unions, Job compensation and benefits)
- Analyzing tasks, workloads, skills, performance
- Promotion
- Training and development



Other operations and functional areas

Organizations engage also in other important operations:

- Tax management (computing and pay taxes)
- Non-core investments (investing available financial resources in excess of requirements for other operations) to create investment revenues
- Insurance management (to cover for damages from negative events)
- Organizations also have to design the organizational structure and to organize how to gather, process and disseminate data and information to internal decision makers and external stakeholders



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ORGANIZATIONAL STRUCTURE



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Imagine you start a new business

You are the CEO. As more and more people join the company, the decisions to be made are:

- How to divide the job?
- Who report to who?
- How many people can one manager manage? How many levels in an organization?
- To what extent the decision making is concentrated at upper level?

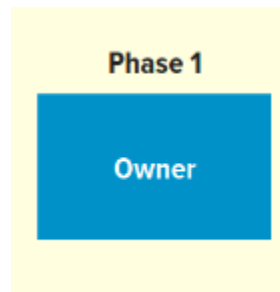


The evolution of a new business

PHASE 1

A clothing store – the origin

- At first the business is a sole proprietorship
- The owner does everything (buys, prices, displays the merchandise, does the accounting, assists customers....)

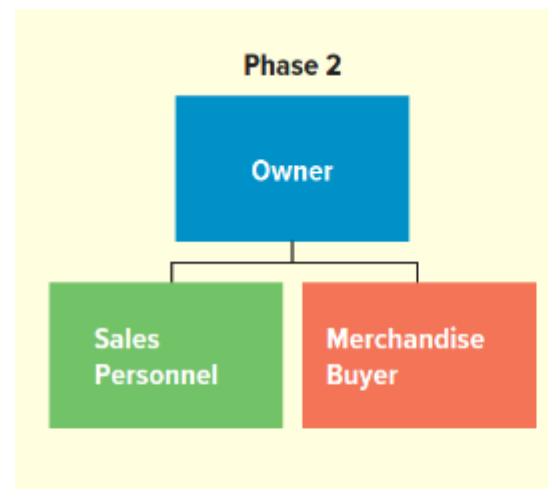


The evolution of a new business

PHASE 2

The business is growing

- The business grows
- The owner hires a salesperson and a merchandise buyer to help run the store



The evolution of a new business

PHASE 3

Growth requires organizing!

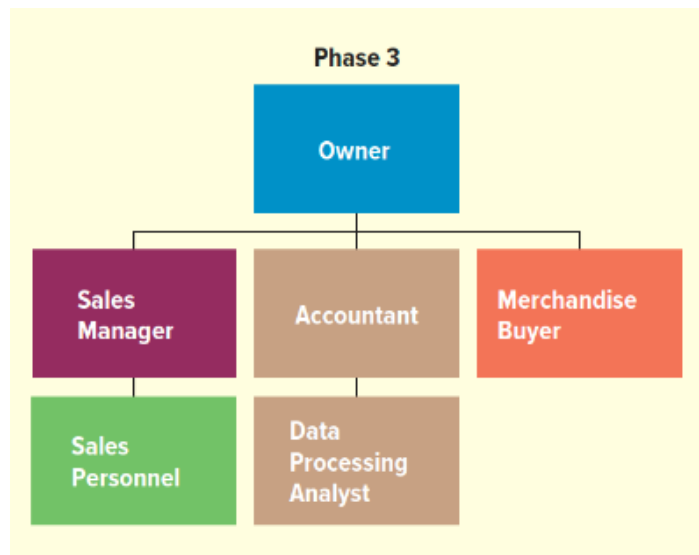
Growth necessitates hiring people who have specialized skills

With more people and greater specialization, firms need to develop a formal structure to function efficiently



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- The business continues to grow
- The owner hires more salespeople
- Now the business requires the owner to be away from the store frequently (to meet with suppliers, PR, ...), so he designates someone to manage the salespeople and maintaining the accounting, payroll..



We define **ORGANIZATIONAL STRUCTURE**

A structure is the arrangement of the relationship of positions within an organization.

When managers assign tasks and activities to specific individuals or groups and coordinate the diverse activities required to reach firm's objectives.



The Division of labour



© Brian Crane.



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We define **SPECIALIZATION**

Specialization is the division of labor into specific tasks and the assignment of employees to do a single task.

The goal is the Efficiency.



The 6 Sources of Specialization Economies

Activities take place with more speed and efficiently, with less effort, and with higher quality when they are specialized

- Learning economies through repetition
- Uneven distribution of skills (specialization according to skills)
- Differentiation of managerial and technical orientations (specialization according to orientation)
- Costs of preparation and passage between the phases (reduction of setting/set-up costs)
- Different technical performances of the plants (optimal use of specialized facilities and equipment)
- Identification at work and motivation (pleasure of mastery)



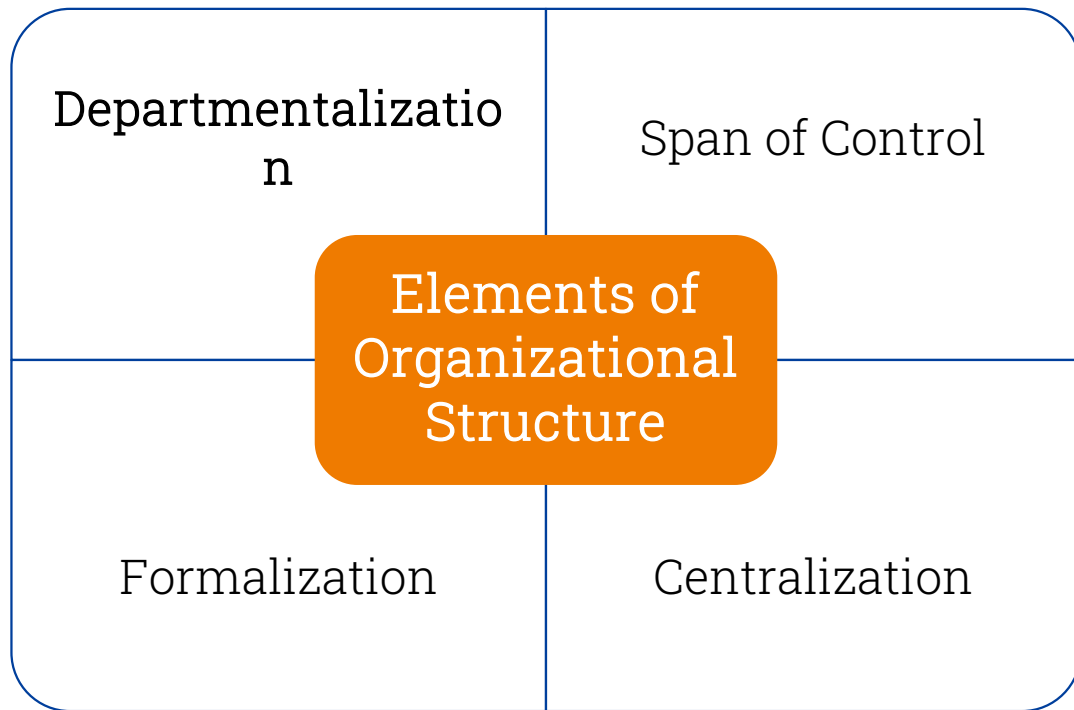
Consequences of extreme specialization

Pay attention to demotivation as a result of overspecialization

- Employees can become bored and dissatisfied with their job
- Result: poor quality work, more injuries, high employee turnover



Elements of the organizational structure



We define **DEPARTMENTALIZATION**

The grouping of jobs into working units usually called departments, units, groups or divisions.



Departmentalization

The grouping of jobs into working units usually called departments

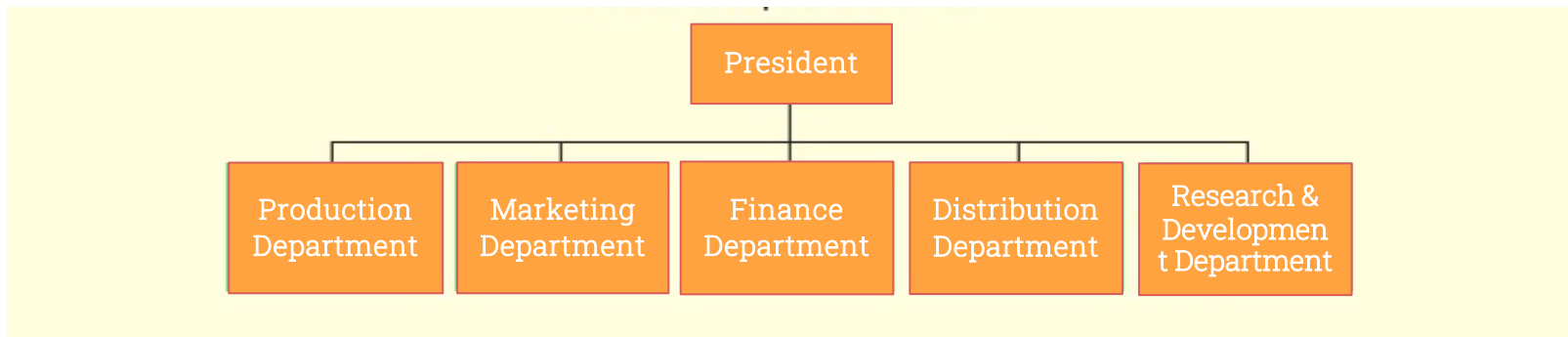
Departments are usually organized by:

- Function
- Product
- Geographic region
- Customer

Most companies use more than one departmentalization

- For instance, consumer goods manufacturers have departments for specific product lines (i.e. beverages, frozen dinners, canned goods)
- But also, departments that deal with legal, purchasing, finance, human resources, and other business functions

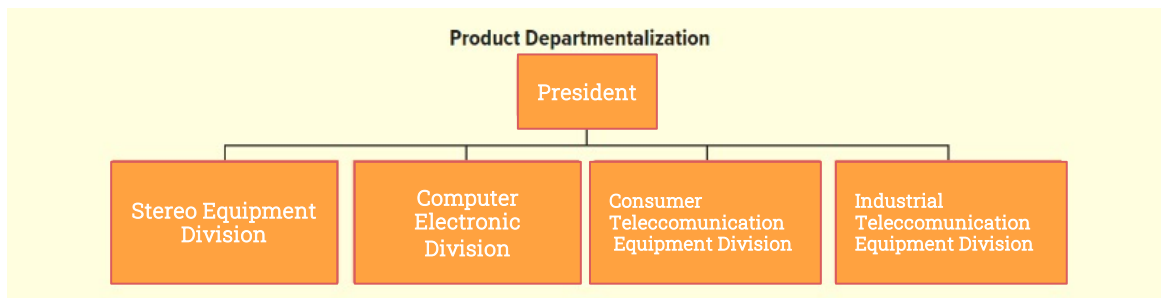
Functional departmentalization



The grouping of jobs that perform similar functional activities, such as finance, manufacturing, marketing, and human resources

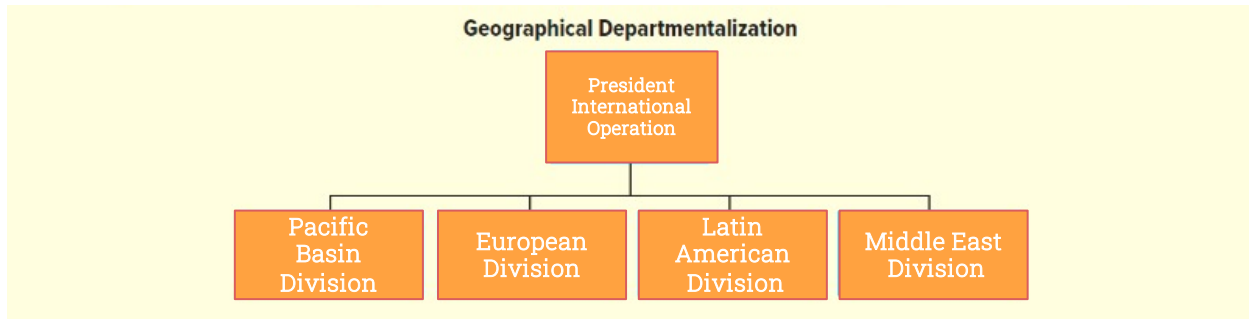
Product departmentalization

The organization of jobs in relation to the products of the firm



Geographical departmentalization

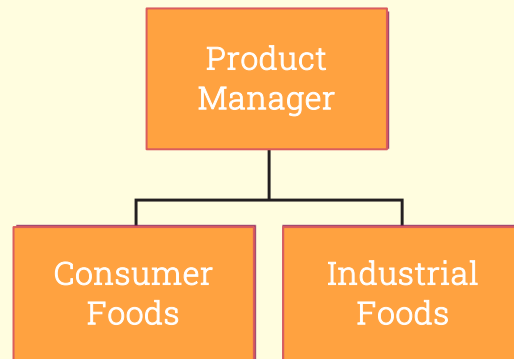
The grouping of jobs according to geographic location, such as state, region, country, or continent.



Customer departmentalization

The grouping of jobs around the needs of various types of customers

Customer Departmentalization



Poll time!

British Airways provides prices and services customized for either business/frequent travelers or infrequent customers. This is an example of:

- A) Functional dep.
- B) Product dep.
- C) Geographical dep.
- D) Customer dep.



Poll time!

Unilever has global units including personal care, foods, refreshment, and home care. This is an example of:

- A) Functional dep.
- B) Product dep.
- C) Geographical dep.
- D) Customer dep.



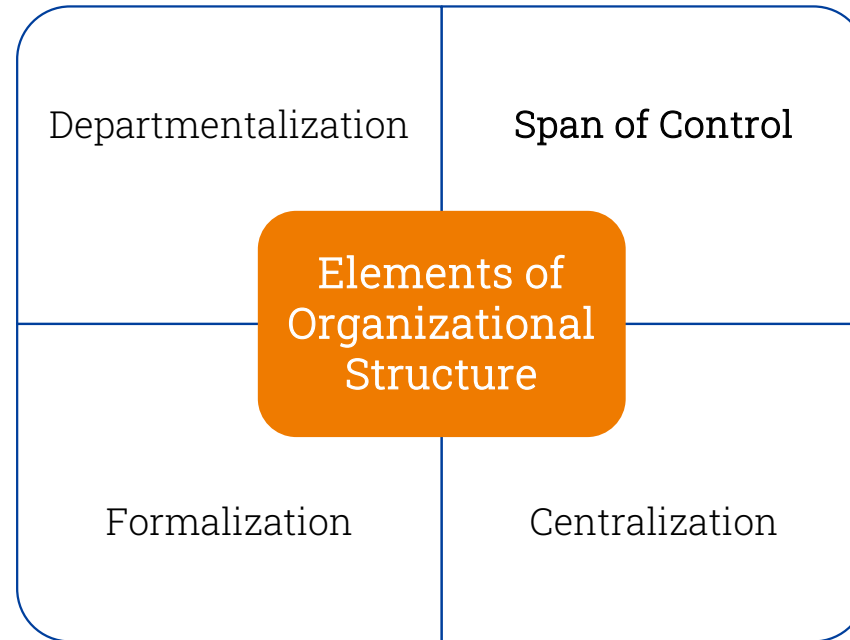
Poll time!

Tesla has a finance, technology, global sales, engineering and legal department. This is an example of:

- A) Functional dep.
- B) Product dep.
- C) Geographical dep.
- D) Customer dep.

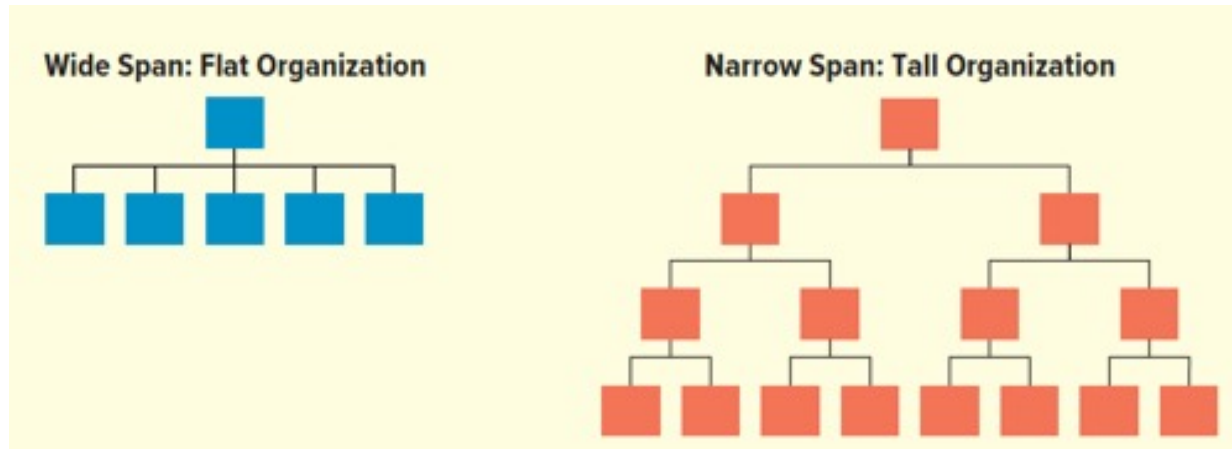


Elements of the organizational structure



Span of Control

- Organizational layers are the levels of management in an organization



Span of Control

- Wide span of management: a manager directly supervises a very large number of employees
- Narrow span of management: a manager directly supervises only a few subordinates



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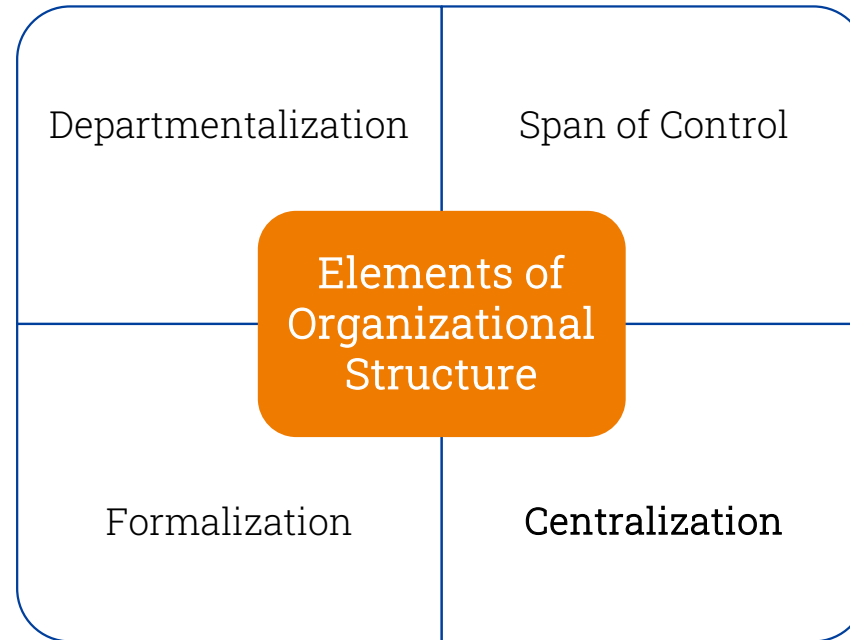
Source: Harvard Business Review



Under which circumstances would you
opt for a wide span?

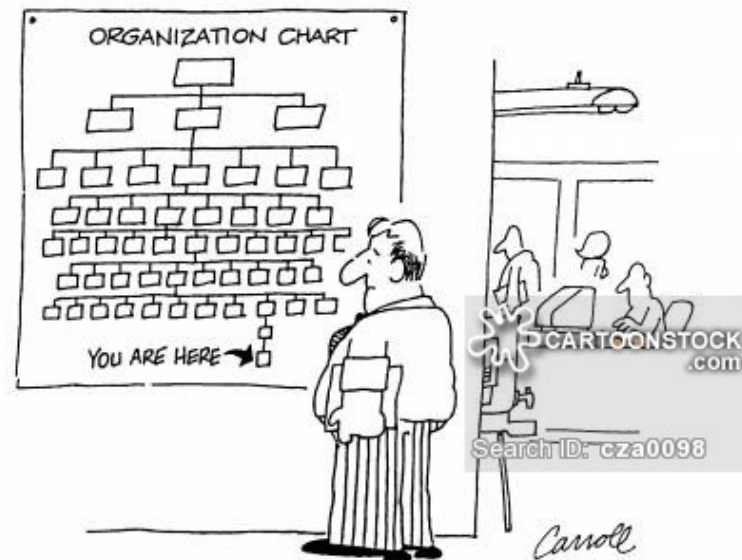


Elements of the organizational structure



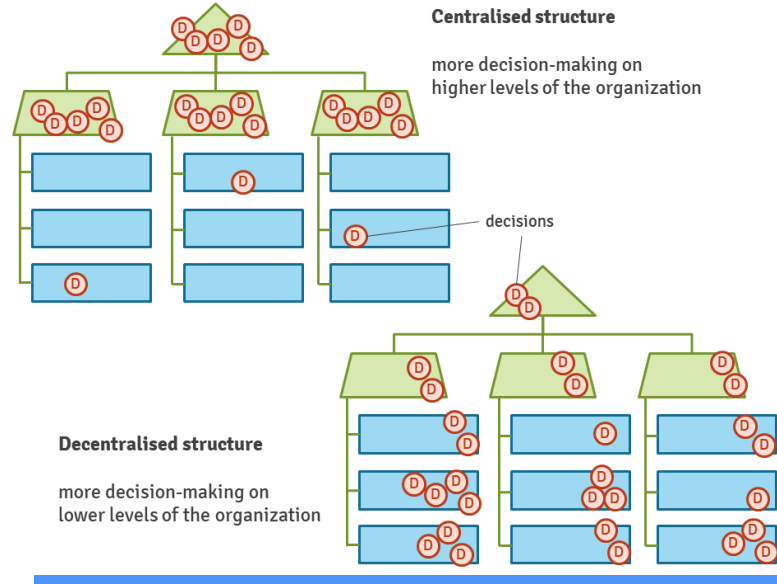
Delegation of Authority

- Giving tasks and empowering employees
- Delegation gives:
 - Responsibility to employees: to carry out assigned tasks satisfactorily and holds them accountable for the proper execution
 - Accountability: employees are answerable to a superior for the outcome

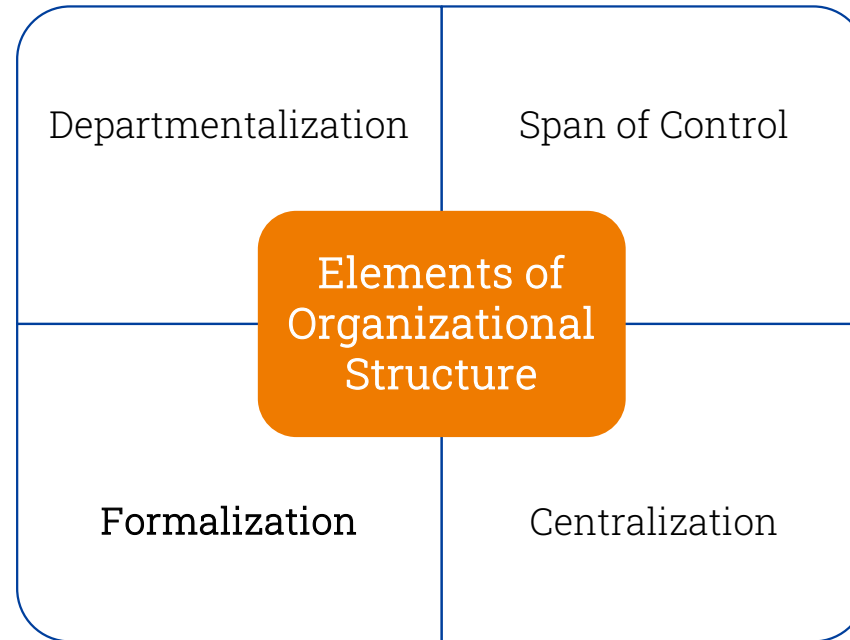


Degree of Centralization

— The degree to which authority is delegated throughout an organization



Elements of the organizational structure



Formalization

- Standardizing behavior through rules, procedures, training, etc
- Increases as firms get older, larger, regulated
- Main Problems
 - Less organizational flexibility
 - Discourages organizational learning/creativity
 - Increases job dissatisfaction and work stress
 - Rules/procedures become focus of attention



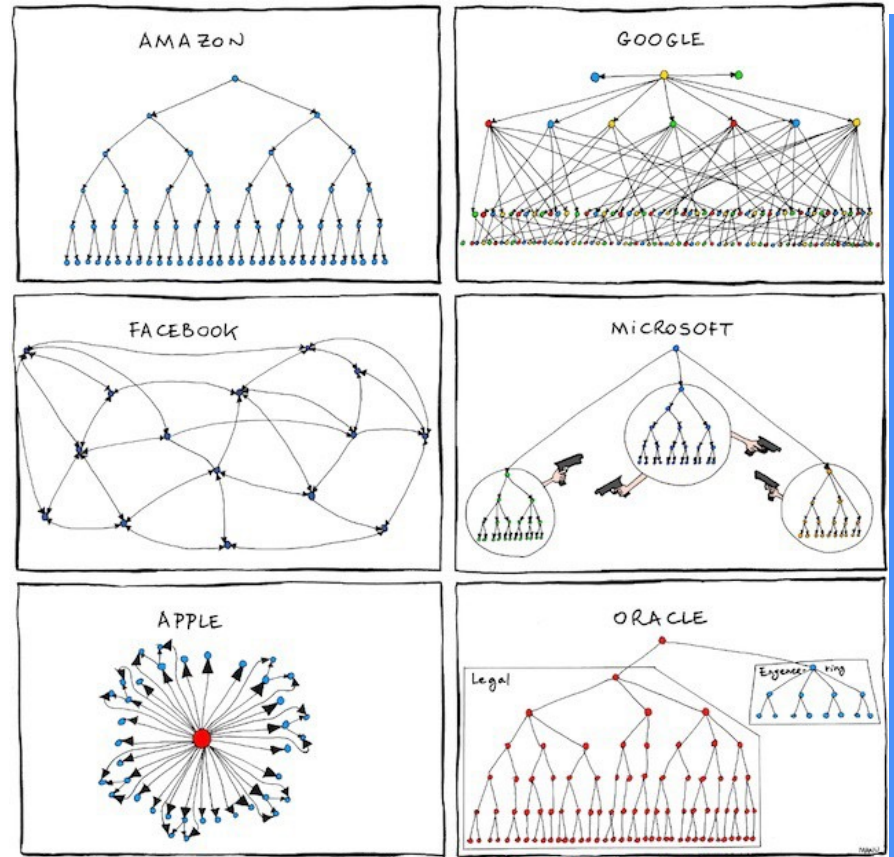
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FORMS OF ORGANIZATIONAL STRUCTURE



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The big tech companies: how to get thousands of employees to collaborate more closely, to avoid some duplication and, as a result, to build their products to work more harmoniously together

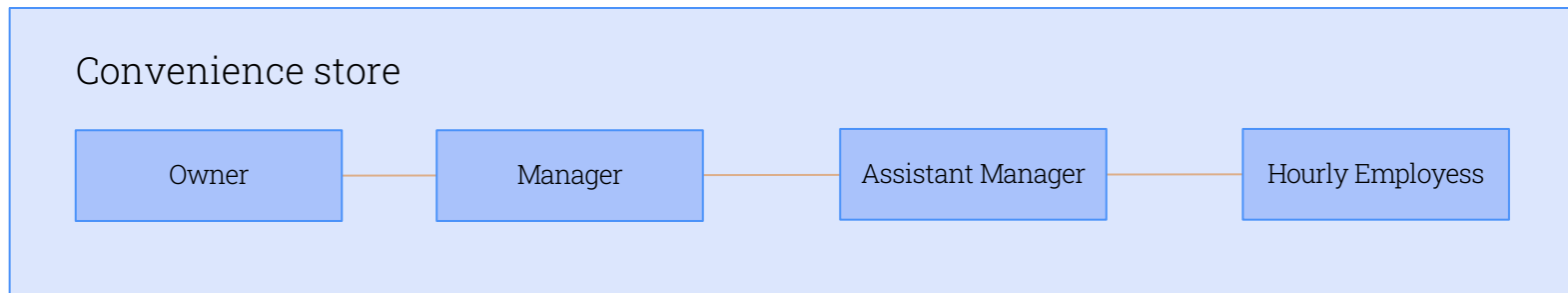


Source: Nich Wingfield, Microsoft Overhauls, the Apple Way



Line structure

- Simplest organizational structure
- Direct lines of authority extend from top management to employees at the lowest levels



Line structure

Advantages: clear chain of command which enables managers to make decisions quickly

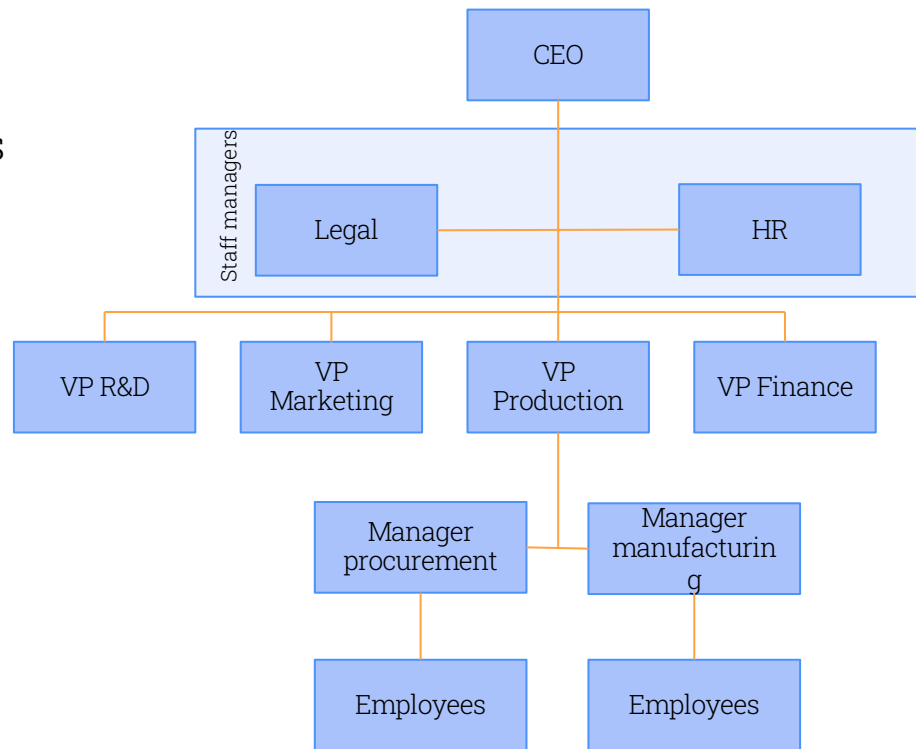
Disadvantages: this structure requires that managers possess a wide range of knowledge and skills, as they are responsible for a variety of activities and must be knowledgeable about them all



- A convenience store employee at 7 eleven report to an assistant manager, who reports to the store manager, who report to a regional manager (in case of an independent store directly to the owner)
- MOST COMMON in small businesses

Line-and-Staff structure

- Traditional line relationship between superiors and subordinates
- Specialized managers – also called staff managers – assist line managers
- Staff managers do not have authority over line managers but over subordinates in their own departments



Line-and-Staff structure

ADVANTAGES

Line managers can focus on the area of expertise in the operation of the business

Staff managers provide advice and support on specialized matters such as finance, HR, engineering

DISADVANTAGES

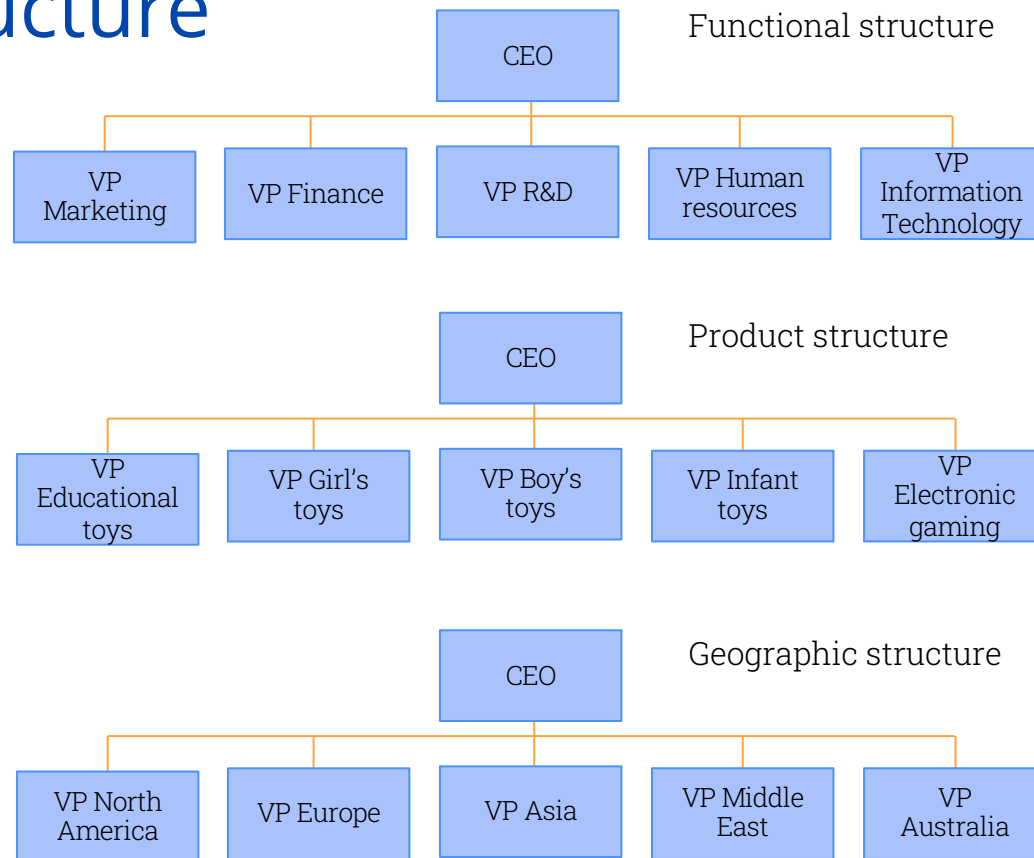
Ambiguous lines of communication

Employees may become frustrated because they lack the authority to carry out certain decisions



Multidivisional Structure

- Organizes departments into larger groups called divisions
- Corporate headquarter set the vision for the whole group
- Permits delegation of decision-making authority
- Inevitably creates work duplication



Multidivisional Structure

ADVANTAGES

- Delegation of decision making authority, allowing divisional and department managers to specialize
- Better decisions are made faster, and tend to be more innovative
- By focusing each division on a common region, product, or customer, each is more likely to provide products that meet the needs of its particular customers

DISADVANTAGES

- It creates work duplication, which makes it more difficult to realize economies of scale that result from grouping functions together
- Isolation among organizational areas

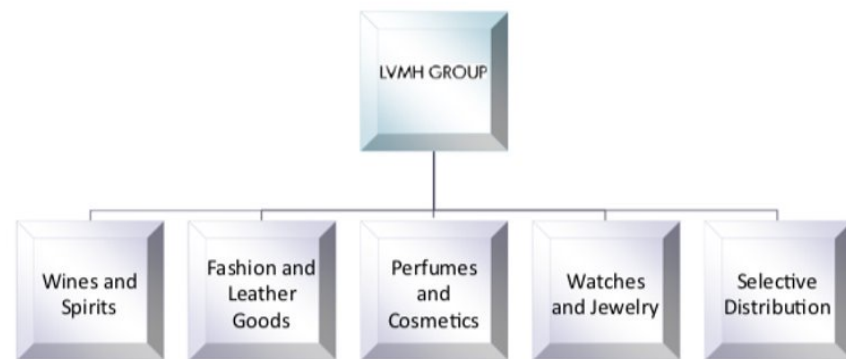


LVMH – multidivisional product driven structure



LVMH – multidivisional product driven structure

- Decisions made on a divisional level, separately and freely
- Divisions have enough space to create (innovation goal + soul of the brand spirit)
- Motivation for workers (i.e. employees can decide in which division to work)
- Accelerate decision-making
- Increases responsibility of the managers



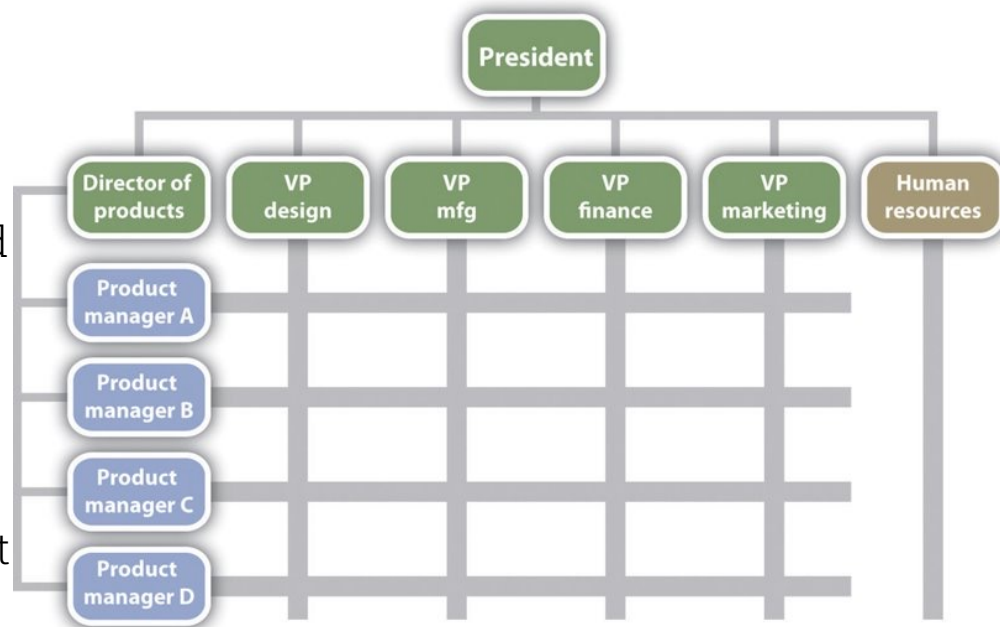


What if a company embraces multiple products, multiple functions, multiple locations?



Matrix Structure

- Sets up teams from different departments; creates two or more intersecting lines of authority
- The matrix superimposes project-based departments on the more traditional function-based departments
- A matrix sets up teams from different departments, creating two or more intersecting lines of authority
- NASA was one of the first to implement it because it needed to coordinate different projects at the same time.



Matrix Structure

ADVANTAGES

- It provides flexibility, enhanced cooperation, creativity
- Draws on very specific expertise
- Develop general managers and reduces the burden of CEOs
- It enables the company to react quickly to changes in the environment by giving special attention to specific projects/problems

DISADVANTAGES

- Matrix are generally expensive
- Matrix are quite complex
- Employees may be confused as to whose authority has priority: the project manager's or the immediate supervisor's?

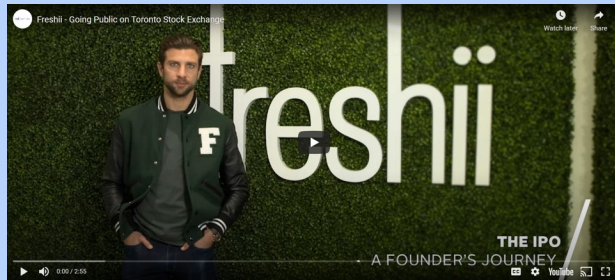


Team structure

- Not hierarchical: it focuses on coordination rather than on control
- Structure made of multiple work groups with weak or no authority lines between them
- Little or absent work formalization; instead, freedom to design work as the teams like
- Teams accountable for their performance
- Good for employees engagement and motivation, flexibility and low barriers between knowledge areas
- Team structures are often characterized by pressure to perform, have problems when scaling up, and may have unclear chain of command



A Freshii Approach to Food and Business



Freshii is a restaurant franchise that focuses on fast and healthy food options

With more than 395 locations in 18 countries, the company has a variety of customizable food offerings from burritos and salads to frozen yogurt and smoothies

Surprisingly, Freshii has no stoves, ovens, fryers or freezers

On 31 Jan 2017 Freshii goes public on Toronto Stock Exchange

2019 turnover: \$29.5 mln; 2019 Employees: 82

Founder & CEO is Matthew Corrin (born 1982)

A Freshii Approach to Food and Business

https://www.viddler.com/embed/895c7062/?f=1&player=arpeggio&secret=89031193&make_responsive=0

While watching the video answer the following questions:

- How is Freshii organized? Do you believe Freshii is an example of centralized or decentralized organization?
- How does Freshii's organizational structure shape its culture?
- In what ways are employees at Freshii empowered to contribute to the company?



A Freshii Approach to Food and Business



- Do you believe that the organizational structure at Freshii is sustainable in the future?
- What challenges could face Freshii as they grow?



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SUMMARY OF MAIN POINTS



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01

What an organizational culture is.

02

Identify different organizational forms.

03

Identify functional areas and operations.



THANK YOU



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